Barrow Quantity Surveyors
Quantity surveying and cost management

Initial Quantity Surveyor Report

Meridian Logistics Estate, Truganina: project budget, contract, contingency and programme review

Prepared for Quillwood Credit Partners

Barrow Quantity Surveyors

27 February 2026

Version 1.0 (initial report)

Reference: BQS-QCP-2026-0227-01

Date: 27 February 2026

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Borrower	Meridian Logistics Estate Pty Ltd (ABN 98 445 227 419)
Sponsor	Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial)
Property	Meridian Logistics Estate, 45 Meridian Boulevard, Truganina VIC 3029
Proposed facility	A$88.0M senior secured investment term facility, interest only, 60 months
Prepared for	Quillwood Credit Partners
Prepared by	Barrow Quantity Surveyors
Date and version	27 February 2026, Version 1.0

Report details

1. Executive summary

Quillwood Credit Partners has asked Barrow Quantity Surveyors to review the development cost, construction contracts, contingency and programme for Meridian Logistics Estate ahead of a proposed A$88.0M refinancing. The estate is complete and stabilised. Stages 1 to 3 reached practical completion between March 2021 and September 2024, so the review is retrospective for the built asset and prospective for the A$1.6M of minor capital works to the vacant 1,600 sqm tenancy.

This is an initial desktop report. We have not yet inspected the site and have not sighted the executed building contracts. Our conclusions are provisional and subject to the items listed in Section 8.

- Total development cost (TDC) is reported at A$118.4M, equal to A$1,850 per sqm of gross lettable area (GLA). Excluding land, the cost is A$72.4M, or A$1,131 per sqm. We consider these rates reasonable for modern 12 to 14 metre clear height warehouses with ESR-rated hardstand and rooftop solar, subject to verification of the final cost reports.
- The Harcourt Pryor Valuers market value of A$150.5M exceeds TDC by A$32.1M, a margin on cost of 27.1%. The facility of A$88.0M represents 74.3% of TDC and 58.5% of market value, so the lender is not reliant on the cost base alone.
- The A$1.6M capital works budget appears adequate in scope. It carries A$0.20M of contingency, which is 14.3% of base cost and which we regard as appropriate for works not yet tendered.
- The works can be completed in about 20 weeks from financial close. No programme risk to the facility term arises, but the works will govern when the vacant tenancy can be offered for lease.

2. Scope and information reviewed

Our scope covers the reasonableness of the reported cost budget, the form and status of construction contracts, the adequacy of contingency, and the programme for both the completed stages and the proposed works. We have not reviewed valuation methodology, income or the financial structure of the facility.

- Information Memorandum dated 9 February 2026.
- Valuation report by Harcourt Pryor Valuers Pty Ltd dated 20 February 2026.
- Cost summaries for Stages 1 to 3 prepared for the borrower by Danforth Quantity Surveyors Pty Ltd.
- Sponsor schedule of proposed minor capital works for the vacant tenancy.

The financial statements (due 6 March 2026) and management accounts (due 13 March 2026) have not yet been provided. We will reconcile reported costs to them once received.

3. Project and cost budget

3.1 Development summary

Arcadia Industrial acquired the 13.3 hectare site on 14 June 2019 for A$46.0M through the borrower and developed the estate in three stages. The estate now comprises four warehouses with a combined GLA of 64,000 sqm.

Stage	Warehouses	GLA (sqm)	Practical completion
1	1	18,000	26 March 2021
2	2 and 3	31,500	18 November 2022
3	4	14,500	30 September 2024
Total	**4**	**64,000**	

Development stages and practical completion

3.2 Total development cost

The table below summarises the TDC as reported by Danforth Quantity Surveyors. The category split is drawn from their cost summaries and has not yet been reconciled to the borrower's ledgers or invoices.

Cost category	A$M	% of TDC	A$ per sqm GLA
Land	46.0	38.9%	719
Construction contracts	51.9	43.8%	811
Rooftop solar and services	3.8	3.2%	59
Professional fees	5.1	4.3%	80
Statutory and authority charges	4.9	4.1%	77
Finance, holding and leasing	6.7	5.7%	105
Total development cost	**118.4**	**100.0%**	**1,850**

Reported total development cost

3.3 Assessment

Land represents 38.9% of TDC, or about A$346 per sqm of site area. Construction contract cost of A$811 per sqm of GLA is consistent with our benchmarks for large-format logistics buildings in Melbourne's west, completed between 2021 and 2024, a period of material escalation. Professional fees at 4.3% of TDC and statutory charges at 4.1% are within the ranges we would expect, though the statutory component should be confirmed against headworks and developer contribution notices.

The cost per sqm of GLA (A$1,850) sits below the as-is market value per sqm (A$2,352). Replacement cost is therefore not a binding constraint on value at present, but it provides some support if capitalisation rates soften. We note that current replacement cost would be higher than the historical TDC because of escalation since Stage 1, and we will provide a current replacement cost estimate after the site inspection.

4. Construction contracts

We have been told that each stage was delivered under a separate construction contract with a head contractor and that practical completion was certified for each stage. We have not sighted the executed contracts, final payment certificates or variation registers. Until we have, we cannot confirm contract form, the final contract sum against the reported construction cost of A$51.9M, or the level of variations.

Points we will confirm on receipt of documents:

- Contract form, price basis and final adjusted contract sum for each stage.
- Certificates of practical completion, occupancy certificates and final completion status.
- Expiry and release of defects liability periods and security. Stage 3 reached practical completion on 30 September 2024, so a typical 12 month period would have expired around 30 September 2025. This is to be confirmed.
- Collateral warranties or reliance letters from the builder and key consultants in favour of the borrower, and their assignability to the lender.

- Evidence of payment of all contractor claims, with statutory declarations and no outstanding security of payment claims.
- Warranties and commissioning records for the rooftop solar systems on all four buildings.

For the proposed A$1.6M capital works, no contract has been let. We recommend a fixed price or capped lump sum contract with a reputable contractor approved by the lender, with retention of at least 5% and a defects liability period of 12 months.

5. Capital works and contingency

5.1 Capital works budget

The sponsor proposes A$1.6M of works to prepare the vacant 1,600 sqm tenancy, which is 2.5% of GLA, for lease. This equates to A$1,000 per sqm of vacant area. The scope is limited to warehouse and office works inside the existing building and does not involve structural changes.

Item	A$M	% of total
Warehouse works (slab, lighting, dock equipment)	0.52	32.5%
Office and amenity fitout	0.46	28.8%
Services and fire upgrades	0.24	15.0%
Fees and approvals	0.18	11.3%
Base cost	1.40	87.5%
Contingency	0.20	12.5%
Total capital works budget	**1.60**	**100.0%**

Proposed capital works budget, vacant tenancy

5.2 Contingency

Contingency of A$0.20M is 14.3% of base cost. Because the scope is not yet designed or tendered, and tenant-specific requirements may change it, we consider this adequate for an initial budget. It should not be reduced until a contract is let. Any further tenant-driven scope should be funded by the tenant or the borrower, not from the facility. We recommend that unspent contingency not be available for other purposes without lender consent.

We have not seen a quote or elemental estimate behind the base cost. The figures above are the sponsor's allowances and have not been independently priced. We will carry out an independent assessment once a design brief is available.

6. Programme

The three development stages were completed over a period of three years and six months from the first practical completion, with Stage 3 reaching practical completion on 30 September 2024. We have no records of delay claims or extensions of time, and will request these with the contract documents. The programme for the capital works is indicative and depends on financial close following the proposed term sheet date of 27 March 2026.

Activity	Duration (weeks)	Indicative timing
Design, tenant brief and approvals	6	Weeks 1 to 6
Tender and contract award	4	Weeks 7 to 10
Construction and commissioning	10	Weeks 11 to 20
Practical completion		Week 20

Indicative capital works programme from financial close

A 20 week programme is realistic for works of this scale, provided no building permit is required beyond minor amendments and long-lead items such as dock levellers are ordered early. A tenant fitout cannot start until a lease is agreed, so the programme may be compressed or extended depending on leasing timing.

7. Key observations and risks

- Documentation gap: executed contracts, final accounts and defect records are not yet sighted, which limits our ability to confirm cost and completion status.
- Cost reporting: the TDC split is from the borrower's QS and requires reconciliation to financial statements due 6 March 2026.
- Scope uncertainty: the capital works are untendered and tenant requirements may change cost. Contingency is currently adequate.
- Environmental and planning: the site is former agricultural land with a historical contamination assessment on file, and 24/7 operating approvals depend on continued EPA Victoria compliance. We recommend an environmental review by a suitably qualified consultant, as this is outside our scope.
- Market supply: significant new supply in western Melbourne may affect the speed and terms of leasing the vacant tenancy, and so the timing of the works.

8. Recommendations and information requests

We recommend that the lender make the following conditions of any approval, and we will complete our review when they are satisfied.

- Provide executed construction contracts, final payment certificates, variation registers and practical completion certificates for Stages 1 to 3.
- Provide evidence that defects liability periods have expired and that all defects have been rectified or that security is held.
- Provide occupancy certificates, building permits and EPA Victoria operating approvals for all four buildings.
- Provide the final Danforth Quantity Surveyors cost reports, reconciled to the financial statements.
- Provide a design brief, scope and builder quotes for the A$1.6M capital works, and enter a fixed price contract with lender-approved contractor.
- Fund the capital works through lender-controlled progress drawdowns, certified by Barrow Quantity Surveyors, with 5% retention.
- Allow a site inspection of all four buildings before the term sheet date of 27 March 2026.

9. Limitations

This report is prepared for Quillwood Credit Partners only and relies on information supplied by the sponsor and its advisers, which we have not independently verified. It is not a valuation, a structural or building condition survey or an environmental assessment. We will update our conclusions after the site inspection and receipt of the documents listed above.

10. Sign-off

Prepared by	Rebecca Lindqvist, Senior Quantity Surveyor, Barrow Quantity Surveyors
Reviewed by	Hamish Orlowski, Director, Barrow Quantity Surveyors
Date	27 February 2026
Status	Initial report, subject to the information requests in Section 8

Authorisation